



Interim Financial Statements
Year Ended 30 June 2018

AMBEON CAPITAL PLC AND ITS SUBSIDIARIES
STATEMENT OF PROFIT OR LOSS

For the Period Ended 30th June,	GROUP			COMPANY		
	2018	2017	% Change	2018	2017	% Change
	LKR	LKR		LKR	LKR	
Continuing Operations						
Revenue	3,295,417,719	2,456,568,067	34%	20,446,291	82,372,673	-75%
Direct Cost	(2,508,678,014)	(2,035,270,278)	23%	-	-	-
Gross Profit	786,739,705	421,297,790	87%	20,446,291	82,372,673	-75%
Investment and Other Income	5,289,901	4,205,805	26%	75,000	(2,955,481)	-103%
Selling and Distribution Expenses	(149,741,328)	(111,679,039)	34%	-	-	-
Administrative Expenses	(609,949,808)	(317,988,960)	92%	(8,062,485)	(23,850,642)	-66%
Change in Fair Value of Financial Assets Held for Trading	(105,630,536)	391,367,832	-127%	(992,083)	5,760,650	-117%
Finance Cost	(192,549,709)	(198,349,862)	-3%	(112,046,211)	(145,291,587)	-23%
Profit/(Loss) Before Income Tax from Continuing Operations	(265,841,776)	188,853,565	-241%	(100,579,488)	(83,964,387)	-
Income Tax Expense	(49,347,824)	(29,128,028)	69%	-	-	-
Profit/(Loss) for the Period from Continuing Operations	(315,189,600)	159,725,538	-297%	(100,579,488)	(83,964,387)	-
Discontinued Operations						
Profit/(Loss) after tax for the period from discontinued operations	(680,666)	(605,860)	12%	-	-	-
Profit/(Loss) for the period	(315,870,266)	159,119,678	-299%	(100,579,488)	(83,964,387)	-
Profit Attributable to:						
Equity Holders of the Company	(311,494,045)	120,782,361		(100,579,488)	(83,964,387)	
Non - Controlling Interests	(4,376,221)	38,337,316		-	-	
	(315,870,266)	159,119,678		(100,579,488)	(83,964,387)	-
Basic Earnings / (Deficit) Per Share	(0.31)	0.12		(0.10)	(0.08)	

The Notes form an integral part of these Financial Statements
Figures in bracket indicate deductions

AMBEON CAPITAL PLC AND ITS SUBSIDIARIES
STATEMENT OF OTHER COMPREHENSIVE INCOME

	GROUP		COMPANY	
For the Period Ended 30th June,	2018	2017	2018	2017
	LKR	Audited LKR	LKR	Audited LKR
Profit/ (Loss) for the Period	(315,870,266)	159,119,678	(100,579,488)	(83,964,387)
Other Comprehensive Income				
Items that will never be reclassified to profit or loss				
Defined Benefit Obligations Actuarial Gain / (Loss)	-	-	-	-
Related Tax	-	-	-	-
	-	-	-	-
Items that are or may be reclassified to profit or loss				
Revaluation Gain of Land and Building	-	-	-	-
Tax on Revaluation Gain	-	-	-	-
Currency Translation of Foreign Operation	-	-	-	-
Currency Translation of Foreign Operation reserve reclassified to profit or loss	-	-	-	-
	-	-	-	-
Total Other Comprehensive Income	-	-	-	-
Total Comprehensive Income for the Period	(315,870,266)	159,119,678	(100,579,488)	(83,964,387)
Total Comprehensive Income Attributable to:				
Equity Holders of the Company	(311,494,045)	120,782,361	(100,579,488)	(83,964,387)
Non - Controlling Interests	(4,376,221)	38,337,316	-	-
	(315,870,266)	159,119,678	(100,579,488)	(83,964,387)

AMBEON CAPITAL PLC AND ITS SUBSIDIARIES
STATEMENT OF FINANCIAL POSITION

As at,	GROUP		COMPANY	
	30-Jun-18	31-Mar-18	30-Jun-18	31-Mar-18
	LKR	Audited LKR	LKR	Audited LKR
ASSETS				
Non-Current Assets				
Property, Plant & Equipment	5,452,404,942	5,474,938,163	373,456	446,108
Intangible Assets	844,336,119	845,866,849	-	-
Biological Assets	48,281,950	48,281,950	-	-
Investment Property	1,688,222,553	1,688,188,153	29,000,000	29,000,000
Investment in Subsidiaries	-	-	5,149,202,175	5,149,202,175
Other Financial Assets	25,717,440	25,234,242	-	-
Deferred Tax Asset	274,360,735	274,360,132	18,270,536	18,270,536
	8,333,323,739	8,356,869,490	5,196,846,167	5,196,918,819
Current Assets				
Inventories	3,397,017,860	3,758,051,548	-	-
Other Financial Assets	1,771,015,352	2,409,055,751	306,386,082	757,790,605
Trade & Other Receivables	4,329,156,373	4,009,655,688	90,318,141	104,765,555
Income Tax Recoverable	16,980,564	16,476,850	-	-
Cash & Cash Equivalents	726,786,870	1,999,187,137	106,647	372,368
	10,240,957,018	12,192,426,975	396,810,870	862,928,527
Total Assets	18,574,280,757	20,549,296,465	5,593,657,037	6,059,847,346
EQUITY AND LIABILITIES				
Equity				
Stated Capital	1,053,643,405	1,053,643,405	1,053,643,405	1,053,643,405
Foreign Currency Translation Reserve	(435,509)	(435,509)	-	-
Retained Earnings	1,833,086,084	2,140,513,433	932,829,801	1,033,409,287
Revaluation Reserves	856,717,592	856,717,592	-	-
Amalgamation Reserve	-	-	258,920,263	258,920,263
Equity Attributable to Equity Holders of the Company	3,743,011,571	4,050,438,921	2,245,393,469	2,345,972,955
Non Controlling Interests	2,551,795,599	2,428,238,516	-	-
Total Equity	6,294,807,170	6,478,677,437	2,245,393,469	2,345,972,955
Non-Current Liabilities				
Other Financial Liabilities	32,935,638	32,935,638	32,038,552	32,038,552
Interest Bearing Loans & Borrowings	1,529,865,493	1,562,021,994	-	-
Retirement Benefit Obligations	408,140,616	410,048,970	-	4,615,058
Deferred Tax Liability	623,010,730	620,479,220	-	-
	2,593,952,477	2,625,485,822	32,038,552	36,653,610
Current Liabilities				
Trade and Other Payables	2,862,785,463	3,292,344,120	30,629,089	31,460,607
Income Tax Payable	217,660,041	177,629,824	-	-
Deferred Income	870,483,221	748,150,496	-	-
Interest Bearing Loans & Borrowings	5,734,592,385	7,227,008,766	3,285,595,927	3,645,760,174
	9,685,521,110	11,445,133,206	3,316,225,016	3,677,220,781
Total Equity and Liabilities	18,574,280,757	20,549,296,465	5,593,657,037	6,059,847,346
Net Assets Per Share (Rs.)	3.73	4.04	2.24	2.34

The notes form an integral part of these financial statements.
Figures in brackets indicate deductions

I certify that the Financial Statements have been prepared in compliance with the requirements of Companies Act No. 07 of 2007.

Sgd.
Haritha C Perera
Chief Financial Officer

The Directors are responsible for the preparation and presentation of these Financial Statements. Signed for and on behalf of the Board.

Sgd.
Ajith Devasurendra
Deputy Chairman

Sgd.
Murali Prakash
Group Managing Director/ CEO

13th August 2018
Colombo

AMBEON CAPITAL PLC AND ITS SUBSIDIARIES
STATEMENT OF CHANGES IN EQUITY

GROUP	Attributable to Equity Holders of the Company					Non Controlling Interests	Total Equity
	Stated Capital	Revaluation Reserve	Foreign Currency Translation Reserve	Retained Earnings	Total		
	Rs.			Rs.	Rs.	Rs.	Rs.
Balance as at 31 March 2017	1,053,643,405	445,801,569	(394,994)	2,016,509,172	3,515,559,152	2,069,496,197	5,585,055,349
Profit / (Loss) for the period				151,541,224	151,541,224	230,755,575	382,296,799
Other Comprehensive Income		410,916,023	(40,515)	(16,559,677)	394,315,831	130,184,490	524,500,321
Total Comprehensive Income for the period	-	410,916,023	(40,515)	134,981,547	545,857,055	360,940,065	906,797,120
Transactions with owners of the Company							
Contributions and Distributions							
Subsidiary Dividend Paid to Minority Share Holders				-	-	(12,248,532)	(12,248,532)
Total Contributions and Distributions	-	-	-	-	-	(12,248,532)	(12,248,532)
Holding Change through common control	-	-	-	(10,977,286)	(10,977,286)	10,050,786	(926,500)
Total changes in ownership interest	-	-	-	(10,977,286)	(10,977,286)	10,050,786	(926,500)
Total Transactions with owners of the Company	-	-	-	(10,977,286)	(10,977,286)	(2,197,746)	(13,175,032)
Balance as at 31 March 2018	1,053,643,405	856,717,592	(435,509)	2,140,513,433	4,050,438,921	2,428,238,516	6,478,677,437
Profit / (Loss) for the period				(311,494,045)	(311,494,045)	(4,376,221)	(315,870,266)
Other Comprehensive Income		-	-	-	-	-	-
Holding Change				4,066,696	4,066,696	127,933,304	132,000,000
Balance as at 30 June 2018	1,053,643,405	856,717,592	(435,509)	1,833,086,084	3,743,011,571	2,551,795,599	6,294,807,170

COMPANY	Stated Capital	Amalgamation Reserve	Retained Earnings	Total Equity
	Rs.	Rs.	Rs.	Rs.
Balance as at 31st March 2017	1,053,643,405		602,698,453	1,656,341,858
Profit for the period		-	430,592,783	430,592,783
Other Comprehensive Income		-	118,053	118,053
Net Result to the Equity on Amalgamation		258,920,263	-	258,920,263
Total Comprehensive Income for the period		258,920,263	430,710,836	689,631,099
Balance as at 31st March 2018	1,053,643,405	258,920,263	1,033,409,289	2,345,972,957
Profit / (Loss) for the period	-	-	(100,579,488)	(100,579,488)
Other Comprehensive Income			-	-
Balance as at 30 June 2018	1,053,643,405	258,920,263	932,829,801	2,245,393,469

AMBEON CAPITAL PLC AND ITS SUBSIDIARIES
CASH FLOW STATEMENT

	CONSOLIDATED		COMPANY	
	2018	2017	2018	2017
	Rs.	Rs.	Rs.	Rs.
For the period Ended 30th June,				
Cash flows From Operating Activities				
Profit before Taxation	(265,841,776)	188,853,565	(100,579,488)	(83,964,387)
Profit/(Loss) before tax from discontinued operations	(680,666)	(350,919)	-	-
Adjustment for				
Depreciation, amortization and impairment charges	89,494,699	84,904,614	72,652	72,304
Amortisation of Intangible Assets	2,318,415	3,609,075	-	-
Change in Fair Value of Financial Assets Held for Trading	105,630,536	(388,700,038)	-	(5,760,650)
Provision for Retirement Gratuity	30,978,904	14,695,738	-	-
Interest Income	-	(8,448,975)	-	-
Interest Expense	192,549,709	(89,773,467)	-	-
Dividend Income	-	(4,678,609)	-	-
(Gain)/Loss on disposal of Property, Plant & Equipment	(4,707,232)	-	-	-
Impairment of trade and other receivables	-	18,955,949	-	-
Deferred income	-	(105,745)	-	-
Profit on Disposal Of Current Investment	(1,256,049)	(5,407,073)	-	5,644,023
Operating Profit before Working Capital Changes	148,486,541	(186,445,885)	(100,506,836)	(84,008,710)
(Increase)/Decrease in Inventories	361,033,688	(491,132,909)	-	-
(Increase)/Decrease in Trade & Other Receivables	(319,500,684)	(95,528,292)	14,447,414	(1,067,457)
Increase/(decrease) in Deferred income	122,332,725	-	-	-
Increase/(Decrease) in Trade & Other Payable	(429,558,657)	711,737,960	(831,518)	135,651,104
Cash Generated from Operations	(117,206,387)	(61,369,126)	(86,890,941)	50,574,937
Interest Paid	(192,549,709)	89,773,347	-	-
Income Tax Paid	(7,289,015)	(16,271,379)	-	-
Retiring Gratuity Paid	(32,156,501)	(9,866,041)	(4,615,058)	-
Net Cash Flow from Operating Activities	(349,201,612)	2,266,801	(91,505,999)	50,574,937
Cash Flow from Investing Activities				
Net Proceeds from Government Securities	451,404,523	(1,367,772,028)	451,404,523	(1,383,170,274)
Acquisition of Property, Plant & Equipment	(67,224,979)	(36,250,558)	-	-
Purchase of Intangible Assets	(787,684)	(1,026,000)	-	-
Investments in Investment Property	(34,400)	-	-	-
Investment in Other current Financial assets	(483,198)	(169,442)	-	-
Dividend Received	-	499	-	-
Proceeds on Disposal of Property, Plant & Equipment	4,970,733	-	-	-
Proceeds from sale of Investments	82,261,389	590,018,738	-	-
Interest Income Received	-	5,585,604	-	-
Net Cash Flow Used in Investing Activities	470,106,384	(809,613,187)	451,404,523	(1,383,170,274)
Cash Flow from Financing Activities				
Loan Received	23,040,862,046	1,252,353,830	23,040,862,049	1,243,367,113
Repayments of Loans	(23,989,974,107)	(118,636,789)	(23,279,494,586)	(70,299,401)
Acquisition by Non Controlling Interest	132,000,000	-	-	-
Net Cash Flow from Financing Activities	(817,112,061)	1,133,717,041	(238,632,536)	1,173,067,712
Net Increase/Decrease in Cash & Cash Equivalent during the period	(696,207,289)	326,370,655	121,265,988	(159,527,625)
Cash & Cash Equivalents				
Net movement during the period	(696,207,289)	326,370,655	121,265,988	(159,527,625)
At the beginning of the period	(761,812,454)	(1,841,199,439)	(2,009,722,836)	(1,866,578,857)
At the end of the year (Note A)	(1,458,019,743)	(1,514,828,784)	(1,888,456,848)	(2,026,106,482)
Note A-Cash and Equivalents are as follows				
Cash in Hand & Bank	726,786,870	1,567,248,369	106,647	106,752
Bank & Other Borrowings	(2,184,806,613)	(3,082,077,153)	(1,888,563,495)	(2,026,213,234)
	(1,458,019,743)	(1,514,828,784)	(1,888,456,848)	(2,026,106,482)

1 Corporate Information

The Company was incorporated in Sri Lanka on 20th September 2006 as a public limited liability company and re-registered under the Company's Act No 7 of 2007 on 3rd August 2009. On 17th May 2012 the company was successfully listed on the Diri Savi Board of Colombo Stock Exchange and subsequently changed its name to Taprobane Holdings PLC on 13th July 2012 and as Ambeon Capital PLC on 10th May 2018.

The Interim Financial Statements of the Group and the Company for the three months ended 30th June 2018 were authorised for issue by the Board of Directors on 13th August 2018.

2 Basis of Preparation

The Institute of Chartered Accountants of Sri Lanka has issued a new volume of Sri Lanka Accounting Standards which became applicable for financial periods beginning on or after 1st January 2012. The Consolidated Financial Statements of the Group and the Financial Statements of the company which comprise the Statement of Financial Position, Statement of Comprehensive Income, Statement of Changes in Equity, Statement of Cash Flows and Notes thereto have been prepared in accordance with these Sri Lanka Accounting Standards (SLFRSs and LKASs) laid down by the Institute of Chartered Accountants of Sri Lanka.

These interim consolidated financial statements should be read in conjunction with the annual financial statements for the year ended 31 March 2018. The Accounting policies are in line with the policies published in the annual financial statements for the year ended 31 March 2018.

3 Segment Information - Group

	CONSOLIDATED	
	2018/19	2017/18
	03 Months	03 Months
(a) Revenue		
Manufacturing Footwear	141,541,155	118,542,000
Manufacturing Porcelain	455,667,510	607,900,000
Manufacturing Textile	1,494,255,344	1,570,424,000
Investment	25,375,867	120,142,283
IT and related Services	1,142,976,291	-
Financial Services	31,485,387	33,842,592
Property	4,116,165	5,717,192
Revenue	3,295,417,719	2,456,568,067
Direct Expenses	(2,508,678,014)	(2,035,270,278)
Gross Profit	786,739,705	421,297,790
(b) Industry Segment Profit		
Manufacturing Footwear	(118,967,592)	(79,395,000)
Manufacturing Porcelain	28,881,161	44,042,000
Manufacturing Textile	(33,708,467)	(25,759,000)
Investment	(308,072,247)	229,889,701
IT and related Services	139,587,847	-
Financial Services	14,099,746	22,087,914
Property	12,337,778	(2,012,050)
Profit Before Income Tax	(265,841,776)	188,853,565
Income Tax Expense	(49,347,824)	(29,128,028)
Profit/(Loss) for the period from continuing operations	(315,189,600)	159,725,538
Discontinued operations	(680,666)	(605,860)
Profit/(Loss) for the Period	(315,870,266)	159,119,678
Other Comprehensive Income for the period (Net of Tax)	-	-
Total Comprehensive Income for the period	(315,870,266)	159,119,678

4 Stated Capital

Stated Capital is represented by number of shares in issue as given below:

	2018	2017
Ordinary Shares	1,002,724,815	1,002,724,815

5 Related Party Transactions

The nature of Related Party Transactions in the period under review is similar to those reported in the annual report for the year 2017/18.

6 Share Information

6.1 Market Price per Share

The market value of an ordinary share of Ambeon Capital PLC was as follows:

	30.06.2018	30.06.2017
Last traded price recorded for 3 months ended	5.00	4.40
Highest price recorded for 3 months ended	5.90	5.10
Lowest price recorded for 3 months ended	4.10	4.00

6.2 Public Share Holdings

The percentage of shares held by the public as at 30th June 2018 was 2.61%.

No of public shareholders as at 30th June 2018 were 569.

6.3 Twenty Major Shareholders

Name of Shareholders	30.06.2018	
	Number of Shares	(%)
1 CHC INVESTMENT (PVT) LTD	568,327,024	56.68%
2 SEYLAN BANK PLC/ARRC CAPITAL(PVT) LIMITED	355,526,332	35.46%
3 COMMERCIAL BANK CEYLON PLC/ARC CAPITAL (PVT) LTD	51,190,106	5.11%
4 SEYLAN BANK LIMITED/RUWAN PRASANNA SUGATHADASA	18,241,706	1.82%
5 MR. SARINDA WASANTH UNAMBOOWE	915,700	0.09%
6 MS FLEUR ANNALEEN ANN MACK	825,000	0.08%
7 MR. RANIL PRASAD PATHIRANA	500,000	0.05%
8 HATTON NATIONAL BANK PLC/SANKA RAMOORTHY NADARAJ KUMAR	497,709	0.05%
9 MRS. SHIRANI SUNILA SILVA	335,000	0.03%
10 MRS. BANURI KUMARI VANYA WICKRAMASINGHE	300,000	0.03%
11 SEYLAN BANK PLC/DR.THIRUGNANASAMBANDAR SENTHILVERL	259,097	0.03%
12 - BANSEI SECURITIES CAPITAL(PVT) LTD/W.B.S. DE ALWIS/	223,080	0.02%
13 MR. KANGASU CHELVADURAI VIGNARAJAH	207,547	0.02%
14 MBSL/U.L.M. NOWFER	183,000	0.02%
15 MR. DINAL GITANJAN WIJEMANNA	174,994	0.02%
16 MR. PATHIRAGE HEMANTHA DEVAPRIYA PERERA	170,000	0.02%
17 MR. THUIYADURA ASHOKA MENDIS GUNASEKARA	170,000	0.02%
18 MR. RAM PRITAMDAS	157,159	0.02%
19 ASHA FINANCIAL SERVICES LIMITED/MR.C.N.PAKIANATHAN	152,399	0.02%
20 MR. RAVINDRA ERLE RAMBUKWELLE	149,430	0.01%
	998,505,283	99.58%

6.4 Director's and Chief Executive Officers Share Holding as at 30th June 2018

	Number of Shares
Mr. S.E. Gardiner	Nil
Mr. P. D. J. Fernando	Nil
Mr. A. L. Devasurendra	138
Mr. S.H. Amarasekera	Nil
Mr. R.P. Pathirana	500,000
Mr. S.W. Unamboowe	915,700
Mr. P.D. Rodrigo	Nil
Mr. N.M. Prakash	20,477
	1,436,315

7 Earnings per Share

The computation of the Basic Earnings per Ordinary Share has been done based on net profit attributable to ordinary shareholders for the year, divided by

	Group		Company	
	30/06/2018	30/06/2017	30/06/2018	30/06/2017
<u>Amounts used as the Numerator</u>				
Net Profit / (Loss) Attributable to Ordinary Shareholders	(311,494,045)	120,782,361	(100,579,488)	(83,964,387)
Weighted Average Number of Ordinary Shares in Issue (Nos.)	1,002,724,815	1,002,724,815	1,002,724,815	1,002,724,815
Basic Earnings per Ordinary Share (Rs.)	(0.31)	0.12	(0.10)	(0.08)

8 Comparative Information

The presentation and classification of the financial statements of the previous years have been amended, where relevant for better presentation and to be comparable with those of the current year.

9 Commitment and Contingencies

Ambeon Holdings PLC has provided corporate guarantee facilities to banks on behalf of its subsidiaries to obtain banking facilities. The details are as follows.

Name of the Company	Bank	Amount	Outstanding Balance as at 30th June
Royal Fernwood Porcelain Ltd	Peoples Bank	Rs. 65 Mn	Rs. 48.7 Mn
Millennium Information Technologies (Pvt) Limited	Seylan Bank	Rs. 2BN	Rs. 842.3 Mn

10 Transaction between parent and Non controlling interest

Millennium Information Technologies (Pvt) Limited (MIT) - Management buyout and capital reduction

As a part of MIT management buyout Ambeon Holdings PLC has disposed 20% holding to MIT management for the consideration of LKR 132Mn.

On 13 June 2018 MIT reduced its stated capital to LKR 415,849,344/ in accordance with the provisions of Section 59 of the Companies Act No. 07 of 2007. 296,307 shares held by Ambeon Holdings PLC be cancelled and that cash amounting to LKR. 125 Mn were returned to Ambeon Holdings PLC consequent to the Reduction of Stated Capital.

11 Reduction of Stated Capital and amendments to the Articles of Association.

Ambeon Holdings PLC

On 17 May 2018, the Company reduced its Stated Capital to LKR 5,331,775,177/- in accordance with Section 59 of the Companies Act No 7 of 2007 without any change to the number of shares issued and made amendments to the Articles of Association Of the Company.

12 Events after the Balance Sheet date

No circumstances have arisen since the reporting date, which would require adjustment to or disclosure in the financial statements except the following.

Dividend

- (i) The company has received dividend of LKR 1.25 per share from Ambeon Holdings PLC for the financial year 201/18 on 02nd August 2018.
- (ii) The Board of Directors of the company has declared an Interim Dividend of LKR 0.36 per share for the financial year 2018/19. Date of Announcement was 09 August 2018 and Date of Payment will be 29 August 2018.

13 Interim figures are provisional and subject to an audit.

AMBEON CAPITAL PLC AND ITS SUBSIDIARIES
CORPORATE INFORMATION

Name of the Company

Ambeon Capital PLC

Legal Form

A Public Limited Liability Company

Quoted on the Colombo Stock Exchange on the 17th May 2012 and

Incorporated in Sri Lanka on 20th September 2006

Company Registration Number

PB 1090 PQ

Board of Directors

Mr. Sanjeev Edward Gardiner- Chairman

Mr. Ajith Lasantha Devasurendra - Deputy Chairman

Mr. Nadarajah Muralee Prakash - Group Managing Director/CEO

Mr. Priyantha Damian Joseph Fernando - Independent Non- Executive Director

Mr. Shiran Harsha Amarasekera - Non Independent Non- Executive Director

Mr. Ranil Prasad Pathirana- Non Independent Non - Executive Director

Mr. Sarinda Wasanth Unamboowe - Independent Non- Executive Director

Mr. Parakrama Devasiri Rodrigo - Independent Non- Executive Director

Secretaries

Managers & Secretaries (Pvt) Ltd

No. 08, Tickell Road ,

Colombo 08.

Business & Registered Office

No.10, Gothami Road,

Colombo 08

Telephone : 94 11 5328100

Fax : 94 11 5328109

Auditors

ERNST & YOUNG

Chartered Accountants,

No. 201, De Saram Place,

Colombo 10.

Bankers

Seylan Bank PLC - Millennium Branch

Pan Asia Banking Corporation PLC - Head Office

National Development Bank PLC - Head Office